

**NAIROBI SECURITIES EXCHANGE
LIMITED**

UNAUDITED FINANCIAL STATEMENTS

**FOR THE SIX MONTHS PERIOD ENDED
30 JUNE 2016**

NAIROBI SECURITIES EXCHANGE LIMITED

UNAUDITED GROUP FINANCIAL STATEMENTS
FOR THE SIX MONTHS PERIOD ENDED 30 JUNE 2016

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NAIROBI SECURITIES EXCHANGE LIMITED

UNAUDITED GROUP STATEMENT OF PROFIT OR LOSS AND
OTHER COMPREHENSIVE INCOME
FOR THE SIX MONTHS PERIOD ENDED 30 JUNE 2016

	Notes	6 months to 30 June 2016 Sh'000	6 months to 30 June 2015 Sh'000	12 months to 31 December 2015 Sh'000
OPERATING INCOME	1	242,579	314,345	616,778
INTEREST INCOME	2	51,766	44,241	101,010
OTHER INCOME	3	39,951	42,544	90,469
TOTAL INCOME		334,296	401,130	808,257
ADMINISTRATIVE EXPENSES		(235,782)	(203,458)	(448,323)
SHARE OF PROFIT OF ASSOCIATE COMPANY	7	8,138	21,072	21,560
PROFIT BEFORE TAXATION		106,652	218,744	381,494
TAXATION CHARGE	4(a)	(24,690)	(40,164)	(75,902)
PROFIT FOR THE PERIOD		81,962	178,580	305,592
OTHER COMPREHENSIVE INCOME		-	-	61
TOTAL COMPREHENSIVE INCOME		81,962	178,580	305,653
EARNINGS PER SHARE		Sh	Sh	Sh
- Basic	16	0.42	0.92	1.57
- Diluted	16	0.32	0.69	1.18

NAIROBI SECURITIES EXCHANGE LIMITED
 UNAUDITED GROUP STATEMENT OF FINANCIAL POSITION
 AS AT 30 JUNE 2016

	Notes	30 June 2016 Sh'000	30 June 2015 Sh'000	31 December 2015 Sh'000
ASSETS				
Non current assets				
Property and equipment	5	154,857	174,614	164,369
Investment property		307,705	307,705	307,705
Intangible assets	6	185,021	142,618	157,048
Investment in associate company	7	108,841	100,154	100,703
Corporate bonds		15,371	35,614	15,277
Government securities	8	109,686	110,415	109,799
Long-term restricted investments	9	141,895	-	135,921
		<u>1,023,376</u>	<u>871,120</u>	<u>990,882</u>
Current assets				
Trade and other receivables	10	196,821	111,908	76,533
Tax recoverable	4(b)	55,022	26,084	73,345
Short term restricted cash & investment	11	333,500	-	333,500
Cash and cash equivalents	11	328,040	883,506	444,035
		<u>913,383</u>	<u>1,021,498</u>	<u>927,413</u>
TOTAL ASSETS		<u>1,936,759</u>	<u>1,892,618</u>	<u>1,918,235</u>
EQUITY AND LIABILITIES				
Equity				
Share capital		778,500	778,500	778,500
Share premium		277,185	277,185	277,185
Retained earnings		705,355	591,483	718,753
Other reserves		(185)	-	(185)
Revaluation reserve		498	516	504
Shareholders' funds		<u>1,761,353</u>	<u>1,647,684</u>	<u>1,774,757</u>
Non current liabilities				
Deferred tax liability	13	4,890	4,379	5,364
Tenant deposits		6,255	8,117	6,255
		<u>11,145</u>	<u>12,496</u>	<u>11,619</u>
Current liabilities				
Trade and other payables	14	140,439	144,756	115,470
Dividends payable	15	20,617	81,559	13,287
Tax payable	4(b)	1,005	-	902
Investor Protection Fund contributions		2,200	2,000	2,200
Prepaid derivatives membership fees		-	4,123	-
		<u>164,261</u>	<u>232,438</u>	<u>131,859</u>
TOTAL SHAREHOLDERS' FUNDS AND LIABILITIES		<u>1,936,759</u>	<u>1,892,618</u>	<u>1,918,235</u>

NAIROBI SECURITIES EXCHANGE LIMITED

UNAUDITED GROUP STATEMENT OF CHANGES IN EQUITY
FOR THE SIX MONTHS PERIOD ENDED 30 JUNE 2016

	Share capital Sh'000	Share premium Sh'000	Other reserves Sh'000	Retained earnings Sh'000	Revaluation reserve Sh'000	Total Shs'000
At 1 January 2015	778,500	277,185	(246)	487,107	516	1,543,062
Profit for the period	-	-	-	178,580	-	178,580
2014 dividend declared in the year	-	-	-	(73,958)	-	(73,958)
At 30 June 2015	778,500	277,185	(246)	591,729	516	1,647,684
Profit for the period	-	-	61	127,012	-	127,073
Transfer of excess depreciation	-	-	-	17	(17)	-
Deferred tax on transfer of excess depreciation	-	-	-	(5)	5	-
At 31 December 2015	778,500	277,185	(185)	718,753	504	1,774,757
Profit for the period	-	-	-	81,962	-	81,962
Transfer of excess depreciation	-	-	-	8	(8)	-
Deferred tax on transfer of excess depreciation	-	-	-	(2)	2	-
2015 dividend declared in the year	-	-	-	(95,366)	-	(95,366)
At 30 June 2016	778,500	277,185	(185)	705,355	498	1,761,353

NAIROBI SECURITIES EXCHANGE LIMITED

UNAUDITED GROUP STATEMENT OF CASH FLOWS
FOR THE SIX MONTHS PERIOD ENDED 30 JUNE 2016

	6 months to 30 June 2016 Sh'000	6 months to 30 June 2015 Sh'000	12 months to 31 December 2015 Sh'000
Cash flows from operating activities			
Cash (used in)/generated from operations	(27,557)	259,140	49,595
Tax paid	(6,738)	(77,534)	(158,646)
Net cash (used in)/generated from operating activities	(34,295)	181,606	(109,051)
Cash flows from investing activities			
Purchase of property and equipment	(2,215)	(6,810)	(9,070)
Purchase of intangible assets	(37,241)	(16,599)	(40,116)
Interest received	51,766	44,241	95,089
Dividend received from associate	-	-	3,375
Proceeds on maturity of corporate and treasury bonds	-	46,000	67,012
Investment in restricted investments	(5,974)	-	(130,000)
Net cash generated from/(used in) investing activities	6,336	66,832	(13,710)
Cash flows from financing activities			
Dividends paid	(88,036)	(5,587)	(73,859)
Net cash used in financing activities	(88,036)	(5,587)	(73,859)
(Decrease)/increase in cash and cash equivalents	(115,995)	242,851	(196,620)
Cash and cash equivalents at the beginning of the period	444,035	640,655	640,655
Cash and cash equivalents at the end of the period	<u><u>328,040</u></u>	<u><u>883,506</u></u>	<u><u>444,035</u></u>

NAIROBI SECURITIES EXCHANGE LIMITED

SELECTED NOTES TO THE UNAUDITED FINANCIAL STATEMENTS

	6 months to 30.6.2016	6 months to 30.6.2015	12 months to 31.12.2015
	Sh'000	Sh'000	Sh'000
1 OPERATING INCOME			
Transactions levy	195,172	269,004	523,939
Annual listing fees	42,833	40,714	81,428
Initial listing fees	3,430	3,750	10,125
Application and additional listing fees	1,144	877	1,286
	<u>242,579</u>	<u>314,345</u>	<u>616,778</u>
2 INTEREST INCOME			
Held to maturity investments - interest on treasury bonds	4,181	5,150	9,404
- interest on corporate bonds	636	1,401	2,802
- interest on term deposits	46,686	37,487	88,417
Interest on staff loans and advances	263	203	387
	<u>51,766</u>	<u>44,241</u>	<u>101,010</u>
3 OTHER INCOME			
Data vending	11,977	11,062	22,645
Broker back office subscription	12,240	12,240	24,480
Sale of publications and merchandising items	1,755	2,359	4,293
Rental income	10,268	13,002	26,027
Miscellaneous income	145	336	1,510
Private transfer fee	493	616	1,125
Nomad registration	575	550	-
Training fees	3,224	-	-
Exchange gain	(726)	2,379	4,789
Derivatives application & annual fees	-	-	4,600
Market access fee	-	-	1,000
	<u>39,951</u>	<u>42,544</u>	<u>90,469</u>

NAIROBI SECURITIES EXCHANGE LIMITED

SELECTED NOTES TO THE UNAUDITED FINANCIAL STATEMENTS (continued)

	6 months to 30.6.2016 Sh'000	6 months to 30.6.2015 Sh'000	12 months to 31.12.2015 Sh'000
4 TAXATION			
(a) Taxation charge			
Current taxation based on adjusted profit for the period at 20% (2015 - 20%)	25,164	41,204	75,957
Deferred tax credit	(474)	(1,040)	(55)
	<u>24,690</u>	<u>40,164</u>	<u>75,902</u>
(b) Tax movement			
Balance at 1 January	(72,443)	10,246	10,246
Charge to profit or loss	25,164	41,204	75,957
Tax paid	(6,738)	(77,534)	(158,646)
	<u>(54,017)</u>	<u>(26,084)</u>	<u>(72,443)</u>
Balance at 30 June and 31 December	<u>(54,017)</u>	<u>(26,084)</u>	<u>(72,443)</u>
Made up of:			
Tax recoverable	(55,022)	(26,084)	(73,345)
Tax Payable	1,005	-	902
	<u>(54,017)</u>	<u>(26,084)</u>	<u>72,443</u>

NAIROBI SECURITIES EXCHANGE LIMITED

SELECTED NOTES TO THE UNAUDITED FINANCIAL STATEMENTS (continued)

5 PROPERTY AND EQUIPMENT

	Building Sh'000	Motor vehicles Sh'000	Furniture & fittings Sh'000	Office equipment Sh'000	Computer equipment Sh'000	WIP Sh'000	Total Sh'000
COST							
At 1 January 2015	90,372	10,995	70,801	21,039	75,655	-	268,862
Additions	-	-	212	491	4,545	1,562	6,810
At 30 June 2015	90,372	10,995	71,013	21,530	80,200	1,562	275,672
Additions	-	-	-	1,267	2,451	-	3,718
Disposals	-	-	-	-	-	(1,458)	(1,458)
At 31 December 2015	90,372	10,995	71,013	22,797	82,651	104	277,932
Additions	-	-	90	322	631	1,172	2,215
At 30 June 2016	90,372	10,995	71,103	23,119	83,282	1,276	280,147
COMPRISING							
Cost	-	10,995	71,103	23,119	83,282	1,276	189,775
Valuation	90,372	-	-	-	-	-	90,372
	90,372	10,995	71,103	23,119	83,282	1,276	280,147
DEPRECIATION							
At 1 January 2015	1,978	3,314	11,694	10,701	61,604	-	89,291
Charge for the period	165	1,124	4,411	1,945	4,122	-	11,767
At 30 June 2015	2,143	4,438	16,105	12,646	65,726	-	101,058
Charge for the period	1,813	1,124	4,415	1,981	3,172	-	12,505
At 31 December 2015	3,956	5,562	20,520	14,627	68,898	-	113,563
Charge for the period	989	1,124	4,416	2,061	3,137	-	11,727
At 30 June 2016	4,945	6,686	24,936	16,688	72,035	-	125,290
NET BOOK VALUE (Revaluation basis)							
At 30 June 2016	85,427	4,309	46,167	6,431	11,247	1,276	154,857
At 31 December 2015	86,416	5,433	50,493	8,170	13,753	104	164,369
At 30 June 2015	88,229	6,557	54,908	8,884	14,474	1,562	174,614

NAIROBI SECURITIES EXCHANGE LIMITED

SELECTED NOTES TO THE UNAUDITED FINANCIAL STATEMENTS (continued)

6 INTANGIBLE ASSETS

	Automated trading system software Sh'000	Other software Sh'000	Broker back office software Sh'000	Software license Sh'000	WIP Sh'000	Total Sh'000
COST						
At 1 January 2015	61,169	27,655	67,931	38,191	37,979	232,925
Additions	-	1,141	-	-	15,458	16,599
Transfers	-	-	-	-	-	-
At 30 June 2015	61,169	28,796	67,931	38,191	53,437	249,524
Additions	-	2,242	-	-	21,275	23,517
Transfers	-	-	-	-	-	-
At 31 December 2015	61,169	31,038	67,931	38,191	74,712	273,041
Additions	-	-	-	-	37,241	37,241
At 30 June 2016	61,169	31,038	67,931	38,191	111,953	310,282
AMORTISATION						
At 1 January 2015	56,282	22,619	17,066	1,742	-	97,709
Amortisation for the period	677	1,304	3,397	3,819	-	9,197
At 30 June 2015	56,959	23,923	20,463	5,561	-	106,906
Amortisation for the period	677	1,195	3,396	3,819	-	9,087
At 31 December 2015	57,636	25,118	23,859	9,380	-	115,993
Amortisation for the period	659	1,393	3,397	3,819	-	9,268
At 30 June 2016	58,295	26,511	27,256	13,199	-	125,261
NET BOOK VALUE						
At 30 June 2016	2,874	4,527	40,675	24,992	111,953	185,021
At 31 December 2015	3,533	5,920	44,072	28,811	74,712	157,048
At 30 June 2015	4,210	4,873	47,468	32,630	53,437	142,618

NAIROBI SECURITIES EXCHANGE LIMITED

SELECTED NOTES TO THE UNAUDITED FINANCIAL STATEMENTS (continued)

7 INVESTMENT IN ASSOCIATE COMPANY

The investment in associate company represents an investment in Central Depository and Settlement Corporation (CDSC) Limited. The company held an ownership percentage of 22.5% as at 30 June 2016 (2015 - 22.5%). The proportion of the voting rights in the associate held by the parent company does not differ from the proportion of ordinary shares held.

	As at 30.6.2016 Sh'000	As at 30.6.2015 Sh'000	As at 31.12.2015 Sh'000
The movement in the balance is as follows:			
At 1 January	100,703	82,457	82,457
Share of profit for the period/year	8,138	21,072	21,621
Dividends declared/received	-	(3,375)	(3,375)
At 30 June and 31 December	<u>108,841</u>	<u>100,154</u>	<u>100,703</u>

The share of profit for the period as at 30 June 2016 and 30 June 2015 only includes the results of the Central Depository and Settlement Corporation (CDSC) Limited, Kenya.

	As at 30.6.2016 Sh'000	As at 30.6.2015 Sh'000	As at 31.12.2015 Sh'000
8 GOVERNMENT SECURITIES HELD TO MATURITY			
Treasury bonds maturing:			
Within one year	-	-	-
After 1 to 10 years	109,686	110,415	109,799
	<u>109,686</u>	<u>110,415</u>	<u>109,799</u>

9 LONG-TERM RESTRICTED INVESTMENTS

Fixed deposit and interest capitalized held with the Co-operative Bank of Kenya and maturing within 180 days in the name of the:

NSE Clear Limited	20,318	-	20,854
NSE Derivatives Settlement Guarantee Fund	109,437	-	104,692
NSE Derivatives Investor Protection Fund	12,140	-	10,375
	<u>141,895</u>	<u>-</u>	<u>135,921</u>

NAIROBI SECURITIES EXCHANGE LIMITED

SELECTED NOTES TO THE UNAUDITED FINANCIAL STATEMENTS (continued)

	As at 30.6.2016 Sh'000	As at 30.6.2015 Sh'000	As at 31.12.2015 Sh'000
10 TRADE & OTHER RECEIVABLES			
Trade receivables	69,669	79,175	56,658
Prepayments and deposits	28,324	22,101	12,092
Other receivables	110,945	22,850	19,901
Receivables from non-trading brokers	141,938	141,938	141,938
Provision for doubtful debts	350,876 (154,056)	266,064 (154,156)	230,589 (154,056)
	196,821	111,908	76,533
11 CASH AND CASH EQUIVALENTS			
Cash and cash equivalents included in the cash flow statement comprise the following statement of financial position amounts:-			
Call deposits	-	347,857	54,721
Fixed deposits – maturity within three months	622,389	216,246	230,825
Fixed deposits – maturity within three months to six months	-	267,898	415,323
Total short-term deposits (note 12)	622,389	832,001	700,869
Bank and cash balances	39,151	51,505	76,666
Total bank and cash balances and deposits	661,540	883,506	777,535
Split into:			
Short-term restricted cash and investments	333,500	-	333,500
Cash and cash equivalents	328,040	883,506	444,035
	661,540	883,506	777,535

NAIROBI SECURITIES EXCHANGE LIMITED

SELECTED NOTES TO THE UNAUDITED FINANCIAL STATEMENTS (continued)

	As at 30.06.2016 Sh'000	As at 30.06.2015 Sh'000	As at 31.12.2015 Sh'000
12 SHORT TERM DEPOSITS			
Maturing within three months:			
Call deposits	-	347,857	54,721
Fixed deposits	622,390	216,246	230,825
	<u>622,390</u>	<u>564,103</u>	<u>285,546</u>
Maturing after three months to six months:			
Fixed deposits	-	267,898	415,323
	<u>622,390</u>	<u>832,001</u>	<u>700,869</u>
The deposits are held to maturity and measured at amortised cost. The deposits were held at the following institution:			
Kenya Commercial Bank Limited	164,992	255,083	96,716
Co-operative Bank of Kenya Limited	90,721	576,918	604,153
Diamond Trust Bank of Kenya Limited	106,890	-	-
NIC Bank Limited	88,298	-	-
Equity Bank of Kenya Limited	170,881	-	-
CFC Stanbic Bank Limited	608	-	-
	<u>622,390</u>	<u>832,001</u>	<u>700,869</u>

NAIROBI SECURITIES EXCHANGE LIMITED

SELECTED NOTES TO THE UNAUDITED FINANCIAL STATEMENTS (continued)

13 DEFERRED TAX LIABILITY

Deferred tax is calculated on all temporary differences under the liability method using a principal tax rate of 20% (2015 - 20%) except for deferred tax on revaluation of buildings which is calculated using the capital gains tax rate of 5%. The net deferred tax liability is attributable to the following items:

	As at 30.6.2016	As at 30.6.2015	As at 31.12.2015
Accelerated capital allowances	(4,132)	(5,639)	(4,973)
Leave provision	1,124	712	487
Bonus provision	-	2,764	1,633
Straight-lined rental income	(1,370)	(1,280)	(1,349)
Deferred tax on revaluation surplus on buildings	(143)	(222)	(144)
Unrealized foreign exchange loss	345	-	(304)
	(4,176)	(3,665)	(4,650)
Deferred tax on revaluation of investment property	(714)	(714)	(714)
	<u>(4,890)</u>	<u>(4,379)</u>	<u>(5,364)</u>

14 TRADE AND OTHER PAYABLES

Current portion

Trade payables	12,245	19,940	9,670
Annual listing fees received in advance	41,638	40,714	16,784
Accrued expenses	47,160	52,493	52,186
Staff leave provision	5,620	3,560	2,437
Capital Markets Authority	953	1,317	1,759
Tax penalties payable	19,585	17,359	19,585
Other payables	10,695	9,370	8,519
Amounts payable to associate company	2,543	3	4,530
	<u>140,439</u>	<u>144,756</u>	<u>115,470</u>

15 DIVIDENDS PAYABLE

At 1 January	13,287	13,188	13,188
Declared amount for prior years	95,366	73,958	73,958
Paid during the period	(88,036)	(5,587)	(73,859)
At 30 June and 31 December	<u>20,617</u>	<u>81,559</u>	<u>13,287</u>

NAIROBI SECURITIES EXCHANGE LIMITED

SELECTED NOTES TO THE UNAUDITED FINANCIAL STATEMENTS (continued)

	As at 30.6.2016 Sh'000	As at 30.6.2015 Sh'000	As at 31.12.2015 Sh'000
16 EARNINGS PER SHARE			
Profit attributable to owners of the group (Sh'000)	81,962	178,580	305,592
Weighted average number of shares during the period (Sh'000)	194,625	194,625	194,625
Basic earnings per share* - Sh	0.42	0.92	1.57
Diluted earnings per share** - Sh	0.32	0.69	1.18

* Basic earnings per share based on number of shares – 194,625,000 ordinary shares

* Diluted earnings per share based on number of shares – 259,503,194. This includes ordinary shares issued as bonus shares and approved by the Capital A bonus share issue of one share for every three held or the equivalent of Sixty Four Million, Eight Hundred and Seventy Five Thousand (64,875,000) ordinary shares was approved at the AGM held on 2 June 2016. Approval from the Capital Market Authority (CMA) for the listing of the shares was obtained on 8 July 2016. Due to rounding off of fractions, an additional Seven Hundred and Ninety One (791) ordinary shares was issued as bonus after approval by the CMA on 21 July 2016. All bonus shares commenced trading on 25 July 2016.